

Draft Requirements of Proposed International Standard on Sustainability Assurance (ISSA) 5000TM, *General Requirements for Sustainability Assurance Engagements* (Parts 1 to 3)

Note for the Board: The draft requirements in this paper are work in progress to demonstrate the approach to drafting ISSA 5000 based on extant standards. Board input is sought on the approach rather than the wording of specific requirements. The SAWG will give further consideration to the precise wording based on the Board's feedback in September 2022.

Legend for Highlighting:

Turquoise: Areas most likely impacted by the priority areas.

Overview

1. This document consists of initial draft requirements for Parts 1 to 3 of Proposed ISSA 5000 as follows:
 - Part 1: Conduct of an Assurance Engagement in Accordance with ISSA;
 - Part 2: Fundamental Concepts, General Principles and Overarching Requirements; and
 - Part 3: Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement.
2. The draft requirements have been developed using the approach outlined in **Agenda Item 4-D**. That is, the requirements are based on ISAE 3000 (Revised)¹ and ISAE 3410², and the Sustainability Assurance Working Group (SAWG) has considered whether there are requirements in identified ISAs³ that are relevant and appropriate for including in Proposed ISSA 5000.
3. As only some of the actions in developing the requirements have been undertaken to date, the requirements in this document are work-in-progress and are being presented to demonstrate how the approach to developing the requirements would be applied. As a result, the Board is asked to focus on the approach undertaken by the SAWG, and directional decisions made by the SAWG, rather than specific details of the drafting itself.
4. In developing the requirements in this document, the SAWG has amended the requirements from ISAE 3000 (Revised), ISAE 3410 and the ISAs (as relevant) to tailor them for assurance on sustainability reporting. Changes in mark-up indicate changes to the wording from the underlying standard from which the requirements were drawn.
5. The "Key Notes Regarding the Proposed Requirements" in the table provides a brief explanation for the main changes from the requirements in the extant standards and the SAWG's key considerations in incorporating requirements into Proposed ISSA 5000 from the ISAs. Where necessary, further detailed explanations regarding the reasons for the inclusion of requirements from the identified ISAs have been provided in the Appendix.

¹ ISAE 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*

² ISAE 3410, *Assurance Engagements on Greenhouse Gas Statements*

³ International Standards on Auditing

Matters for IAASB Consideration:

8. Are there matters the SAWG needs to consider as it further adapts requirements from ISAE 3000 (Revised) and ISAE 3410 for the purposes of Proposed ISSA 5000?
9. Does the IAASB broadly agree with the SAWG's approach to, and basis for determining, which requirements of the ISAs identified for further consideration have been included and adapted in Parts 1–3 below? For example, are the ISA requirements that have been adapted appropriate for those areas where ISAE 3000 (Revised) and ISAE 3410 may lack specificity, while balancing the granularity of requirements with the overarching nature of Proposed ISSA 5000?
10. The IAASB is asked to share any other key matters or considerations for the SAWG regarding the proposed draft requirements that are likely to have a significant impact on further progressing the standard.

Draft Requirements of Proposed ISSA 5000 VOLUME 1

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000 (Revised); ISAE 3410; ISAs; EER Guidance ⁴
	Proposed Requirements Based on ISAE 3000 (Revised) ⁵ and ISAE 3410 ⁵ (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs ⁵ (Marked from ISA Requirement)		
	Part 1: Conduct of an Assurance Engagement in Accordance with this ISSA			
1.	1.1 Complying with this ISSA			
2.	[ISAE 3000 (Revised) Para.14] The practitioner shall comply with this ISAE <u>ISSA when conducting an assurance engagement on sustainability information and any subject matter-specific ISAEs relevant to the engagement.</u>		As no subject matter specific standards have been written yet in the ISSA suite, this refers to ISSA in the singular.	ISAE 3000 (Revised) Para.14 ISAE 3410 Para.9, A17 ISA 200 ⁶ Para.18
3.	[ISAE 3000 (Revised) Para. 15/ ISAE 3410 Para. 15] The practitioner shall not represent compliance with this or any other ISAE <u>ISSA unless the practitioner has complied with the requirements of this ISSA, and any other ISAEs relevant to the engagement. (Ref: Para. A21–A22, A171)</u>			ISAE 3000 (Revised) Para. 15, A21–A22, A171 ISAE 3410 Para. 15, A5–A6, A17, A21–A22, A37, A127

⁴ Non-Authoritative Guidance on Applying ISAE 3000 (Revised) to Sustainability and Other Extended External Reporting (EER) Assurance Engagements

⁵ Including Conforming and Consequential Amendments as a Result of the New and Revised Quality Management Standards

⁶ ISA 200, Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000 (Revised); ISAE 3410; ISAs; EER Guidance ⁴
	Proposed Requirements Based on ISAE 3000 (Revised) ⁵ and ISAE 3410 ⁵ (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs ⁵ (Marked from ISA Requirement)		
4.	1.2 Text of an ISSA			
5.	[ISAE 3000 (Revised) Para. 16] The practitioner shall have an understanding of the entire text of <u>an</u> this ISSAE, including its application and other explanatory material, to understand its objectives and to apply its requirements properly. (Ref: <u>Para. A23–A28</u>)			ISAE 3000 (Revised) Para. 16, A16, 23–A28
6.	1.3 Complying with Relevant Requirements			
7.	[ISAE 3000 (Revised) Para.17] <u>Subject to the following paragraph, t</u>The practitioner shall comply with each requirement of this ISSAE <u>and of any relevant subject matter specific ISAE</u> unless, in the circumstances of the <u>assurance</u> engagement the requirement is not relevant because it is conditional and the condition does not exist. <u>When conducting a limited assurance engagement, the practitioner shall comply with each requirement</u> <u>Requirements that apply to only limited assurance or reasonable assurance engagements have been</u> presented in a columnar format with the letter “L” (limited assurance) <u>after the paragraph number.</u>		The second part of this requirement is a statement so it has been reworded as a requirement, otherwise it would need to be moved to application material.	ISAE 3000 (Revised) Para. 17, A29 ISAE 3410 Para. 8, A4, A90

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000 (Revised); ISAE 3410; ISAs; EER Guidance ⁴
	Proposed Requirements Based on ISAE 3000 (Revised) ⁵ and ISAE 3410 ⁵ (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs ⁵ (Marked from ISA Requirement)		
	When conducting a reasonable assurance engagement, the practitioner shall comply with each requirement presented in a columnar format with the letter or “R” (reasonable assurance) after the paragraph number. (Ref: Para. A29)			
8.	[ISAE 3000 (Revised) Para.18] In exceptional circumstances, the practitioner may judge it necessary to depart from a relevant requirement in thisan ISSAAE . In such circumstances, the practitioner shall perform alternative procedures to achieve the aim of that requirement. The need for the practitioner to depart from a relevant requirement is expected to arise only when re the requirement is for a specific procedure to be performed and, in the specific circumstances of the assurance engagement, that procedure would be ineffective in achieving the aim of the requirement.			ISAE 3000 (Revised) Para.18
9.	1.4 Failure to Achieve an Objective			
10.	[ISAE 3000 (Revised) Para.19] If an objective in this ISSA-ISA or a relevant subject matter-specific ISAE cannot be achieved, the practitioner shall evaluate whether this requires the			ISAE 3000 (Revised) Para.19

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	Proposed Requirements Based on ISAE 3000 (Revised) ⁵ and ISAE 3410 ⁵ <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs ⁵ <i>(Marked from ISA Requirement)</i>		
	practitioner to modify the practitioner's conclusion or withdraw from the assurance engagement (where withdrawal is possible under applicable law or regulation). Failure to achieve an objective in a relevant ISAE this ISSA represents a significant matter requiring documentation in accordance with paragraph XX79 of this ISAE ISSA .			

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	Part 2: Fundamental Concepts, General Principles and Overarching Requirements			
12.	2.1 Relevant Ethical Requirements, Including Those Related to Independence			
13.	[ISAE 3000 (Revised) Para.20] The practitioner shall comply with <u>relevant ethical requirements, including those pertaining to independence, the provisions of the IESBA Code</u> relating to assurance engagements <u>of sustainability information, or other professional requirements, or requirements imposed by law or regulation, that are at least as demanding.</u> (Ref: Para. A30–A34, A60)		Reference to the IESBA Code has been removed to help improve the neutral approach regarding who may conduct the assurance engagement (a definition of relevant ethical requirements would be provided). For further explanation see the Appendix paragraphs 3-6.	ISAE 3000 (Revised) Para.20, A30–A34, A60; ISAE 3410 Para. 10, A5–A6 ISA 200 EER Para.46-47, 117
14.	2.2 Firm-level Quality Management			
15.	[ISAE 3000 (Revised) Para. 31] The engagement partner shall <u>;</u>			ISAE 3000 (Revised) Para.31; Para. A60–A66

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(a) ^b Be a member of a firm that applies <u>the ISQMs-4⁷</u> , or other professional requirements, or requirements in law or regulation, that are at least as demanding as <u>the ISQMs-4</u> ; (Ref: Para. A60–A66)			ISAE 3410 Para.10, A5-6 EER Para.47
16.	2.3 Engagement-level Quality Management 2.3.1 Characteristics of the Engagement Partner			
17.	[ISAE 3000 (Revised) Para. 31] The engagement partner shall: (b) ^h Have <u>assurance</u> competence, <u>and competence in the sustainability subject matter, and its measurement or evaluation, in assurance to take overall responsibility for managing and achieving quality on the engagement, skills and techniques developed through extensive training and practical application; and (Ref: Para. A60)</u> (c) Have sufficient competence in the relevant underlying subject matter and its measurement or		Sub-paragraph (a) is addressed in line 15. Sub-paragraph (b) and (c) combined. In Agenda Item 4–C , the SAWG proposed adding definitions for “assurance competence” and “subject matter competence”. These terms have been used	ISAE 3000 (Revised) Para. 31, A60, A67–A68 ISAE 3410 10, Para. A5–A6 EER Chapter 1: Applying Appropriate Competence and Capabilities; Para 41

⁷ International Standards on Quality Management

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	evaluation to accept responsibility for the assurance conclusion. (Ref: Para. A67–A68)		here in place of the extant material. Furthermore, across ISA 220 (Revised) ⁸ , there is an emphasis on the engagement partner's responsibility for managing and achieving quality on the engagement. The SAWG believes that the competence of the engagement partner needs to support being able to accept such responsibility and therefore has proposed aligning the competence with the overall responsibility for the engagement.	
18.	2.3.2 Responsibilities of the Engagement Partner			

⁸ ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
19.	Overall Responsibility for Managing and Achieving Quality			
20.	[ISAE 3000 (Revised) Para. 33] The engagement partner shall take overall responsibility for managing and achieving quality on the engagement and being sufficiently and appropriately involved throughout the engagement. This includes responsibility for: (a) — Being satisfied that the firm's policies or procedures for the acceptance and continuance of client relationships and assurance engagements have been followed; (ab) The engagement being planned and performed (including appropriate direction and supervision of engagement team members) in accordance with professional standards and applicable legal and regulatory requirements; and (c) — Reviews being performed in accordance with the firm's policies or procedures and reviewing the engagement documentation on or before the date of the assurance report; (Ref: Para. A74)		Paragraph 33(a) with respect to acceptance and continuance is addressed in line 89. Paragraph 33(b) and (c), with respect to direction, supervision and review, is addressed in lines 33-38. Paragraph 33(e) on consultation is addressed in line 40.	ISAE 3000 (Revised) Para. 33, A74 ISA 220 (Revised) Para. 13–15, A28–A37 EER Para.42, 44, 52-53, 65

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(db) Appropriate engagement documentation being maintained to provide evidence of achievement of the practitioner's objectives, and that the engagement was performed in accordance with <u>relevant ISAEs this ISSA</u> and relevant legal and regulatory requirements; and (e) Appropriate consultation being undertaken by the engagement team on difficult or contentious matters.			
21.	<i>Responsibility for Relevant Ethical Requirements, Including Those Related to Independence</i>			
22.		[ISA 220 (Revised) Para.16] The engagement partner shall have an understanding of the relevant ethical requirements, including those related to independence, that are applicable given the nature and circumstances of the <u>audit</u> engagement. (Ref: Para. A38–A42, A48)	This requirement and the following requirements regarding the engagement partner's responsibilities for relevant ethical requirements add greater specificity than ISAE 3000 (Revised), because of the importance of ethics and independence in	ISA 220 (Revised) Para.16, A38–A42, A48

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
			the public interest. For further detailed explanation see the Appendix paragraph 9(b).	
23.		[ISA 220 (Revised) Para.17] The engagement partner shall take responsibility for other members of the engagement team having been made aware of relevant ethical requirements that are applicable given the nature and circumstances of the engagement, and the firm's related policies or procedures, including those that address: (Ref: Para. A23–A25, A40–A44) (a) Identifying, evaluating and addressing threats to compliance with relevant ethical requirements, including those related to independence; and (b)- Circumstances that may cause a breach of relevant ethical requirements, including those related to independence, and the responsibilities of members of the	For further detailed explanation see the Appendix paragraph 9(b).	ISA 220 (Revised) Para.17, A23–A25, A40–A44

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		engagement team when they become aware of breaches; and (c) The responsibilities of members of the engagement team when they become aware of an instance of non-compliance with laws and regulations by the entity.		
24.		[ISA 220 (Revised) Para.18] If matters come to the engagement partner's attention that indicate that a threat to compliance with relevant ethical requirements exists, the engagement partner shall evaluate the threat through complying with the firm's policies or procedures, using relevant information from the firm, the engagement team or other sources, and take appropriate action. (Ref: Para. A43–A44)	For further detailed explanation see the Appendix paragraph 9(b)	ISA 220 (Revised) Para.18, A43–A44
25.	[ISAE 3000 (Revised) Para.34] Throughout the engagement, the engagement partner shall remain alert, through observation and making inquiries as necessary, for evidence of breaches of relevant ethical requirements by members of the engagement team. If matters come to the engagement partner's attention through the firm's		Please see the explanation in the Appendix paragraphs 3–5. The requirements in paragraphs 19–20 of ISA 220 (Revised)	ISAE 3000 (Revised) Para.34 ISA 220 (Revised) Para.19-20, A45-A46 EER Para. 51, 55-57

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	system of quality management or otherwise that indicate that members of the engagement team have breached relevant ethical requirements, the engagement partners, in consultation with others in the firm, shall determine the appropriate action.		already exist in ISAE 3000 (Revised).	
26.		[ISA 220 (Revised) Para.21] Prior to dating the auditor's assurance report, the engagement partner shall take responsibility for determining whether relevant ethical requirements, including those related to independence, have been fulfilled. (Ref: Para. A38 and A47)	For further detailed explanation see the Appendix paragraph 9(b).	ISA 220 (Revised) Para. A38 and A47
27.	<i>Responsibility for Engagement Resources</i>			
28.	[ISAE 3000 (Revised) Para. 31] (aa) Determine that sufficient and appropriate resources to perform the engagement are assigned or made available to the engagement team in a timely manner, taking into account the nature and circumstances of the engagement, the firm's policies or procedures, and any changes that may arise during the engagement.			ISAE 3000 (Revised) Para. 31 (aa), A69-A73 ISAE 3410 Para. 16(b), A18-A19 ISA 220 (Revised) Para.25-28, A59-A74, A79

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
				EER Chapter 1: Applying Appropriate Competence and Capabilities; Para.29-32
29.	[ISAE 3000 (Revised) Para. 32] The engagement partner shall: (Ref: Para. A69) (a) Be satisfied that those persons who are to perform the engagement collectively have the appropriate competence and capabilities including having sufficient time to: (Ref: Para. A70–A71) (i) Perform the engagement in accordance with relevant standards and applicable legal and regulatory requirements; and (ii) Enable an assurance report that is appropriate in the circumstances to be issued. (b) Be satisfied that the practitioner will be able to be involved in the work of: (a) A practitioner's expert when re the work of that expert is to be used; and (Ref: Para. A70–A71)	[ISA 220 (Revised) Para.26] The engagement partner shall determine that members of the engagement team, and any auditor's-practitioner's external experts and internal auditors who provide direct assistance who are not part of the engagement team, collectively have the appropriate <u>assurance</u> competence and <u>subject-matter competence</u>, <u>and</u> capabilities, including sufficient time, to perform the <u>audit</u> engagement. (Ref: Paa. A62, A71–A74)	In this case, the requirements in paragraph 32(a) of ISAE 3000 (Revised) and paragraph 26 of ISA 220 (Revised) are similar. The SAWG has proposed including the ISA 220 (Revised) requirement, to enable a more logical flow of the requirements when incorporated with other inclusions from ISA 220 (Revised). For further detailed explanation see the Appendix paragraph 9(d).	ISAE 3000 (Revised), Para 32, A70-A73 ISA 220 (Revised) Para.26, A62, A71-A74

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(bii) Another practitioner, not part of the engagement team, when the assurance work of that practitioner is to be used, (Ref: Para. A72–A73) to an extent that is sufficient to accept responsibility for the assurance conclusion on the <u>subject mattersustainability</u> information.			
30.		[ISA 220 (Revised) Para.27] If, as a result of complying with the requirements in paragraphs XX [lines 28 and 29] 25 and 26, the engagement partner determines that resources assigned or made available are insufficient or inappropriate in the circumstances of the <u>audit</u> engagement, the engagement partner shall take appropriate action, including communicating with appropriate individuals <u>in the firm</u> about the need to assign or make available additional or alternative resources to the engagement. (Ref: Para. A75–A78)	This and the following further requirement address the need for engagement partner to ensure that sufficient appropriate resources are available. For further detailed explanation see the Appendix paragraphs 9(d) 3–5.	ISA 220 (Revised) Para.27, A75-A78
31.		[ISA 220 (Revised) Para.28] The engagement partner shall take responsibility for using the resources assigned or made available to the engagement team appropriately, given the nature and	For further detailed explanation see the Appendix paragraph 9(d)	ISA 220 (Revised) Para.28, A63-A69

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		circumstances of the audit engagement. (Ref: Para. A63–A69)		
32.	<i>Direction, Supervision and Review</i>			
33.		[ISA 220 (Revised) Para.29] The engagement partner shall take responsibility for the direction and supervision of the members of the engagement team and the review of their work. (Ref: Para. A80)	This and the following requirements more robustly address the engagement partner's responsibility for appropriate direction, supervision and review. For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.29, A80
34.		[ISA 220 (Revised) Para.30] The engagement partner shall determine that the nature, timing and extent of direction, supervision and review is: (Ref: Para. A81–A89, A94–A97) (a) Planned and performed in accordance with the firm's policies or procedures, professional standards and applicable legal and regulatory requirements; and	For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.30, A81-A89, A94-A97

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		(b) Responsive to the nature and circumstances of the audit engagement and the resources assigned or made available to the engagement team by the firm.		
35.		[ISA 220 (Revised) Para.31] The engagement partner shall review <u>work audit documentation</u> at appropriate points in time during the <u>audit</u> engagement, including <u>audit workdocumentation</u> relating to: (Ref. Para. A90-A93) (a) Significant matters; (a) <u>Areas of Significant judgments</u>, including those relating to difficult or contentious matters identified during the <u>audit</u> engagement, and the conclusions reached; and (b) Other matters that, in the engagement partner's professional judgment, are relevant to the engagement partner's responsibilities.	For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.31, A90-A93

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
36.		[ISA 220 (Revised) Para.32] On or before the date of the assurance <u>auditor's</u> report, the engagement partner shall determine, through review of audit documentation and discussion with the engagement team, that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the auditor's assurance report to be issued. (Ref: Para. A90–A94)	For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.32, A90-A94
37.		[ISA 220 (Revised) Para.33] Prior to dating the auditor's assurance report, the engagement partner shall review the sustainability information <u>financial statements</u> and the assurance <u>auditor's</u> report, including, if applicable, the description of the key audit matters and related audit documentation, to determine that the report to be issued will be appropriate in the circumstances.	For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.33
38.		[ISA 220 (Revised) Para.34] The engagement partner shall review, prior to their issuance, formal written communications to	For further detailed explanation see the Appendix paragraph 9(e).	ISA 220 (Revised) Para.34, A98

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		management, those charged with governance or regulatory authorities. (Ref: Para. A98)		
39.	Consultation			
40.		[ISA 220 (Revised) Para.35] The engagement partner shall: (Ref: Para. A99–A102) (a) Take responsibility for the engagement team undertaking consultation on: (i) Difficult or contentious matters and matters on which the firm's policies or procedures require consultation; and (ii) Other matters that, in the engagement partner's professional judgment, require consultation; (b) Determine that members of the engagement team have undertaken appropriate consultation during the audit engagement, both within the engagement team, and between the engagement team and others at the appropriate level within or outside the firm;	Greater specificity has been provided on consultation because sustainability assurance engagements may involve extensive judgment and entities' systems of internal control may still be maturing. For further detailed explanation see the Appendix paragraph 9(f).	ISA 220 (Revised) Para.35, A99-A102

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
		(c) Determine that the nature and scope of, and conclusions resulting from, such consultations are agreed with the party consulted; and (d) Determine that conclusions agreed have been implemented.		
41.	<i>Differences of Opinion</i>			
42.		[ISA 220 (Revised) Para.37] If differences of opinion arise within the engagement team, or between the engagement team and the engagement quality reviewer or individuals performing activities within the firm's system of quality management, including those who provide consultation, the engagement team shall follow the firm's policies or procedures for dealing with and resolving such differences of opinion. (Ref: Para. A107–A108) [ISA 220 (Revised) Para.38] The engagement partner shall: (a) Take responsibility for differences of opinion being addressed and resolved in	Greater specificity has been provided on differences of opinion given the myriad of expertise within engagement teams and across other individuals, which may give rise to differences of opinion. For further detailed explanation see the Appendix paragraph 9(g).	ISA 220 (Revised) Para.37-38, A107-A108

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		accordance with the firm's policies or procedures; (b) Determine that conclusions reached are documented and implemented; and (c) Not date the auditor's assurance report until any differences of opinion are resolved.		
43.	<i>Monitoring and Remediation</i>			
44.	[ISAE 3000 (Revised) Para.35] The engagement partner shall consider the information from the firm's monitoring and remediation process, as communicated by the firm and, if applicable, other network firms and whether the information may affect the assurance engagement.			ISAE 3000 (Revised) Para.35 ISA 220 (Revised) Para. 39, A109-A112 EER Para.54
45.	<i>Engagement Quality Review</i>			
46.	[ISAE 3000 (Revised) Para.36] For those engagements for which an engagement quality review is required in accordance with ISQM 1 (or professional requirements, or requirements in law or regulation, that are at least as demanding as ISQM 1), or the firm's policies or procedures, the engagement partner shall discuss significant matters			ISAE 3000 (Revised) Para.36 ISA 220 (Revised) Para. 36, A103-A106

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
	and significant judgments arising during the engagement with the engagement quality reviewer, and not date the assurance report until completion of that review.			
47.	2.4 Work Performed by Others			
48.	2.4.1 Work Performed by a Practitioner's Expert			
49.	[ISAE 3000 (Revised) Para. 52] When the work of a practitioner's expert is to be used, the practitioner shall also: (Ref: Para. A120-A124) (a)- Evaluate whether the practitioner's expert has the necessary competence, capabilities and objectivity for the practitioner's purposes. In the case of a practitioner's external expert, the evaluation of objectivity shall include inquiry regarding interests and relationships that may create a threat to that expert's objectivity; (Ref: Para. A126-A129) (b) Obtain a sufficient understanding of the field of expertise of the practitioner's expert; (Ref: Para. A130-A131)			ISAE 3000 (Revised) Para. 52, A120–A124, A126–A135 ISAE 3410 Para. A42 EER Chapter 1: Applying Appropriate Competence and Capabilities, Para 35-36

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(c) Agree with the practitioner's expert on the nature, scope and objectives of that expert's work; and (Ref: Para. A132-A133) (d) Evaluate the adequacy of the practitioner's expert's work for the practitioner's purposes. (Ref: Para. A134-A135)			
50.	2.4.2 Work Performed by Another Practitioner [ISAE 3410 Para.57(a)] When the practitioner intends to use the work of another practitioner, the practitioner shall communicate clearly with the other practitioners about the scope and timing of the work and findings of the other practitioner. (Ref: Para. A113-A114)		Amendments to separate the engagement of another practitioner from the outcome or use of their work.	ISAE 3000 (Revised) Para. 53, A135 ISAE 3410 Para.57(a), A42, A113-114
51.	[ISAE 3410 Para.57(b)] <u>When the practitioner uses the work of another practitioner, the practitioner shall evaluate the adequacy of the work for the practitioner's purposes</u>sufficiency and appropriateness of evidence obtained and the process for including related information in the GHG statement. (Ref: Para. A115).		Amendment to separate the engagement of another practitioner from the outcome or use of their work. ISAE 3000 (Revised) also refers to the adequacy of the work for the practitioner's	ISAE 3000 (Revised) Para.53 ISAE 3410 Para. 57(b), A115 EER Para.48-49

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
			purpose, which is more appropriate than referring to the sufficiency and appropriateness of the evidence.	
52.	2.4.3 Work Performed by the Internal Audit Function [ISAE 3000 (Revised) Para.55] If the practitioner plans to use the work of the internal audit function, the practitioner shall evaluate the following: (a) The extent to which the internal audit function's organizational status and relevant policies and procedures support the objectivity of the internal auditors; (b) The level of competence of the internal audit function in sustainability subject matters; (c) Whether the internal audit function applies a systematic and disciplined approach, including quality control; and			ISAE 3000 (Revised) Para 55 ISAE 3410 Para. 32, A78 EER Chapter 1: Applying Appropriate Competence and Capabilities, Para.49

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(d) Whether the work of the internal audit function is adequate for the purposes of the engagement.			
53.	<i>2.5 Professional Skepticism, Professional Judgment, and Assurance Competence</i>			EER Chapter 3: Exercising Professional Skepticism and Professional Judgment
54.	[ISAE 3000 (Revised) Para. 37] The practitioner shall plan and perform an engagement with professional skepticism, recognizing that circumstances may exist that cause the <u>subject matter sustainability</u> information to be materiality misstated. (Ref: Para. A76–A80)			ISAE 3000 (Revised) Para. 37, A76–A80 EER Para. 54-63
55.	[ISAE 3000 (Revised) Para. 38] The practitioner shall exercise professional judgment in planning and performing an assurance engagement, including determining the nature, timing and extent of procedures. (Ref: Para. A81–A85)			ISAE 3000 (Revised) Para. 38 A81–A85 EER Para. 64-65

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
56.	[ISAE 3000 (Revised) Para. 39] The practitioner shall apply assurance skills and techniques <u>competence</u> as part of an iterative, systematic engagement process.			ISAE 3000 (Revised) Para.39 EER Para.66
57.	<i>2.6 Fraud</i>			
58.	[ISAE 3410 Para.47] The practitioner shall respond appropriately to fraud or suspected fraud and non-compliance or suspected non-compliance with law or regulation identified during the engagement. (Ref. Para. A106-A107)		Non-compliance with laws and regulations has been further enhanced below.	ISAE 3410 Para. 47 A106–A107
59.	<i>2.7 Law and Regulation</i>			
60.		[ISA 250 (Revised)⁹ Para.13] As part of obtaining an understanding of the entity and its environment in accordance with paragraph XXISA 315 (Revised 2019) , the practitioner <u>auditor</u> shall obtain a general understanding of:	This requirement and the following requirements provide more specificity on consideration of laws and regulations. See the Appendix	ISA 250 (Revised) Para.13

⁹ ISA 250 (Revised), *Consideration of Laws and Regulations in an Audit of Financial Statements*

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		(a)- The legal and regulatory framework applicable to the entity and the industry or sector in which the entity operates, in the context of the entity's sustainability information; and (b)- How the entity is complying with that framework.	paragraphs 10-12 for further detailed explanation.	
61.		[ISA 250 (Revised) Para.16] During the engagement audit, the practitioner auditor shall remain alert to the possibility that other audit procedures applied may bring instances of non-compliance or suspected non-compliance with law or regulation may come to the practitioner auditor's attention.	See the Appendix paragraphs 10-12 for further detailed explanation.	ISA 250 (Revised) Para.16
62.		[ISA 250 (Revised) Para.19] If the practitioner auditor becomes aware of information concerning an instance of non-compliance or suspected non-compliance with laws and regulations, the practitioner auditor shall obtain: (Ref: Para. A17—A18)	See the Appendix paragraphs 10-12 for further detailed explanation.	ISA 250 (Revised) Para.19

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		(a)- An understanding of the nature of the act and the circumstances in which it has occurred; and (b)- Further information to evaluate the possible effect on the sustainability informationfinancial statements. (Ref: Para. A19)		
63.		[ISA 250 (Revised) Para.26] If the practitionerauditor concludes that the identified or suspected non-compliance has a material effect on the financial statementssustainability information, and has not been adequately reflected in the sustainability informationfinancial statements, the auditorpractitioner shall modify the practitioner's conclusion, in accordance with paragraph XX. ISA 705 (Revised), express a qualified opinion or an adverse opinion on the financial statements.	See the Appendix paragraphs 10-12 for further detailed explanation.	ISA 250 (Revised) Para.26
64.		[ISA 250 (Revised) Para.23] Unless all of those charged with governance are involved in management of the entity, and therefore are aware of matters involving	See the Appendix paragraphs 10-12 for further detailed explanation.	ISA 250 (Revised) Para.23

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		identified or suspected non-compliance already communicated by the auditor, t The practitioner auditor shall communicate, unless prohibited by law or regulation, with management and those charged with governance matters involving identified or suspected non-compliance with laws and regulations that come to the practitioner auditor's attention during the course of the engagement audit, other than when the matters are clearly inconsequential.		
65.		[ISA 250 (Revised) Para.29] If the practitioner auditor has identified or suspects non-compliance with laws and regulations, the practitioner auditor shall determine whether law, regulation or relevant ethical requirements: (Ref: Para. A28–A34) (a)- Require the practitioner auditor to report to an appropriate authority outside the entity. (b)- Establish responsibilities under which reporting to an appropriate authority outside the entity may be appropriate in the circumstances.	See the Appendix paragraphs 10-12 for further detailed explanation.	ISA 250 (Revised) Para.29

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
66.	2.8 Communication with Management and Those Charged with Governance			
67.		[ISA 260 (Revised)¹⁰ Para.14] The <u>practitioner</u>auditor shall communicate with those charged with governance the responsibilities of the <u>practitioner</u>auditor in relation to the <u>financial—statement audit</u>engagement, including that: (a)- The <u>practitioner</u>auditor is responsible for forming and expressing a <u>conclusion</u>opinion on the <u>sustainability information</u>financial statements that have been prepared by management with the oversight of those charged with governance; and (b) The <u>assurance</u>audit of the <u>sustainability information</u>financial statements does not relieve management or those charged with governance of their responsibilities. (Ref: <u>Para. A9–A10</u>)	This and the next paragraph provide further specificity on communication with those charged with governance. See the Appendix paragraphs 13-15 for further detailed explanation.	ISA 260 (Revised) Para.14

¹⁰ ISA 260 (Revised), *Communication with Those Charged with Governance*

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
68.		[ISA 260 (Revised) Para.15–17] <i>Note the text below is not in marked text from ISA 260 (Revised) as only the principles of the paragraphs have been incorporated.</i> The practitioner shall communicate with those charged with governance: (a) The planned scope and timing of the engagement; (b) Significant matters arising during the engagement and significant findings from the engagement, including significant difficulties encountered and matters affecting the assurance report; and (c) The relevant ethical requirements applied in the conduct of the engagement, and a statement that they have been complied with.	See the Appendix paragraphs 13-15 for further detailed explanation.	ISA 260 (Revised) Para.15–17 ISAE 3000 (Revised) Para.78, A193-A199
69.	[ISAE 3410 Para.78] The practitioner shall also communicate, unless prohibited by law or regulation, with those charged with governanceperson(s) with oversight responsibilities for the GHG statement the following		Amendment to separate out the requirement regarding reporting outside of	ISAE 3410 Para.78, A87

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	matters that come to the practitioner's attention during the course of the engagement, and shall determine whether there is a responsibility to report them to another party within or outside the entity: (a) Deficiencies in internal control that, in the practitioner's professional judgment, are of sufficient importance to merit attention; <u>and</u> (b) Identified or suspected fraud; and (c) —Matters involving identified or suspected non-compliance with laws and regulations, other than when the matters are clearly trivial. (Ref: Para. A87)		the entity as it is distinct.	
70.	[ISAE 3000 (Revised) Para.78] The practitioner shall consider whether, pursuant to the terms of the engagement and other engagement circumstances, any <u>other</u> matter has come to the attention of the practitioner that is to be communicated with the responsible party, the measurer or evaluator, the engaging party, those charged with governance or others (Ref: Para. A193–A199).		Amendment to recognize the additional proposed requirements from ISA 260 (Revised).	ISAE 3000 (Revised) Para.78, A193-A199

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	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
71.	Part 3: Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement		Priority areas: Suitable criteria Scope	
72.	3.1: Engagement Scope and Other Preconditions for the Assurance Engagement			EER Chapter 3: Determining Preconditions and Agreeing the Scope of the EER Assurance Engagement; Chapter 4: Considering the Entity's Process to Identify Reporting Topics; Chapter 5: Determining the Suitability and Availability of Criteria

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
73.	[ISAE 3000 (Revised) Para. 24] <u>The practitioner shall, in order to</u> establish whether the preconditions for an assurance engagement are present, <u>the practitioner shall</u>, on the basis of a preliminary knowledge of the <u>assurance</u> engagement circumstances and discussion with <u>management, those charged with governance or the engaging party, if different, the appropriate party(ies), determine whether</u> (Ref: Para. A35–A36)		Preconditions relate to two of the priority areas - scope and suitable criteria – so the SAWG has elevated the subparagraphs in ISAE 3000 (Revised) into separate requirements to increase their prominence. ISAE 3410 elevates the responsibility for preconditions to the engagement partner, however the SAWG have retained the practitioner as responsible for the preconditions because the engagement partner may not be involved until after it	ISAE 3000 (Revised) Para. 24, 41, A35–A56 ISAE 3410 Para. 17, A11—A12, A20, A23-36 EER Chapter 4: Considering the Entity's Process to Identify Reporting Topics; Chapter 5: Determining the Suitability and Availability of Criteria; Para.72-74; Para.82-84; 114-116; 122-124; 164; 174-207, 211-221

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
			has been accepted by the firm.	
74.	3.1.1 Appropriate Sustainability Subject Matter		Priority area: Scope	
75.	[ISAE 3000 (Revised) Para. 24(b)(i)] <u>The practitioner shall determine whether the underlying sustainability subject matter is appropriate.</u> (Ref: Para. A40–A44)		Elevated to a separate requirement.	ISAE 3000 (Revised) Para. 24(b)(i)
76.	3.1.2 Suitability and Availability of Criteria		Priority area: Suitable criteria	
77.	[ISAE 3000 (Revised) Para. 24(b)(ii)-(iii)] The <u>practitioner shall determine whether the</u> criteria that the practitioner expects to be applied in the preparation of the <u>sustainability subject matter</u> information: (a) <u>Are</u> suitable for the <u>assurance</u> engagement circumstances, including that they exhibit the following characteristics: a. Relevance. b. Completeness. c. Reliability. d. Neutrality.		Elevated to a separate requirement.	ISAE 3000 (Revised) Para. 24(b)(ii)

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	e. Understandability (b) (iii) The criteria that the practitioner expects to be applied in the preparation of the subject matter sustainability information. It will be available to the intended users. (Ref: Para. A51–A52)			
78.	3.1. Rational purpose		Priority area: Scope	
79.	[ISAE 3000 (Revised) Para. 24(b)(vi)] The practitioner shall determine whether the assurance engagement has a rational purpose including, in the case of a limited assurance engagement, that the practitioner expects to be able to obtain a meaningful level of assurance. (Ref: Para. A56)			ISAE 3000 (Revised) Para. 24(b)(vi)
80.	3.1.4 The Scope of the Assurance Engagement		Priority areas: Scope	
81.	[ISAE 3410 Para.17(a)] The engagement partner/practitioner shall determine that whether the sustainability information both the GHG statement and the assurance engagement have sufficient scope to be useful to intended users, considering, in particular: (Ref: Para. A20) (ai)- If the sustainability information GHG statement is to exclude significant information emissions		Amendments made to ISAE 3410 requirement to reflect the fact that sustainability information reported is often intended to only include material	ISAE 3410 Para.17(a)

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	that have been, or could readily be, quantified, that the practitioner would otherwise have expected to be reported to intended users, whether such exclusions are reasonable in the circumstances; and (bii) If the <u>assurance</u> engagement is to exclude assurance with respect to <u>aspects of significant sustainability information emissions</u> that <u>isare</u> reported by the entity, whether such exclusions are reasonable in the circumstances; and (iii) If the engagement is to include assurance with respect to emissions deductions, whether the nature of the assurance the practitioner will obtain with respect to the deductions and the intended content of the assurance report with respect to them are clear and will be understood by the engaging party. (Ref: Para. A11—A12)		information, therefore the “significant” threshold has been removed which will leave it to the practitioner’s professional judgement as to what is useful to users and what is reasonable. The requirement in (iii) has been removed as it is not broadly applicable to all sustainability information.	
82.	3.1.5 Other Matters Related to the Preconditions for the Assurance Engagement			
83.	<u>The practitioner shall determine whether:</u> (a) —[ISAE 3000 (Revised) Para. 24(a)] The roles and responsibilities of the appropriate parties<u>management, those charged with</u>			ISAE 3000 (Revised) Para. 24(a), 24(b)(iv), 24(b)(v)

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	<u>governance or the engaging party, if different, are suitable in the circumstances.</u> and (Ref: Para. A37–A39) <u>(bii)</u> [ISAE 3000 (Revised) Para. 24(b)(iv)] The practitioner expects to be able to obtain the evidence needed to support the practitioner's conclusion; (Ref: Para. A53–A55) <u>(cii)</u> –[ISAE 3000 (Revised) Para. 24(b)(v)] The practitioner's conclusion, in the form appropriate to either a reasonable assurance engagement or a limited assurance engagement, is to be contained in a written report; and			
84.		<u>(diii)</u> –[ISA 210¹¹ Para.6(b)(iii)] Obtain the agreement of management that it acknowledges and understands its responsibility to provide the <u>auditor assurance engagement team</u> with a: (i)– Access to all information of which management is aware that is relevant to the preparation of the	Included relevant aspects of ISA 210 with respect to management's agreement on their responsibilities, which address important concepts for	ISA 210 Para.6(b)(iii)

¹¹ ISA 210, *Agreeing the Terms of Audit Engagements*

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
		sustainability information financial statements such as records, documentation and other matters; (ii) Additional information that the assurance -engagement teamauditor may request from management for the purpose of the audit; assurance engagement, and (iii) to provide the auditor with: Unrestricted access to persons within the entity, or other entities or activities within the scope of the assurance engagement, or management experts from whom the assurance engagement teamauditor determines it necessary to obtain auditevidence.	sustainability reporting. The SAWG acknowledges that the reference to other entities or activities within the scope of the assurance engagement may need further consideration given that some information may come from sources not within management's control.	
85.	[ISAE 3000 (Revised) Para.25] If the preconditions for an assurance engagement are not present, the practitioner shall discuss the matter with <u>management or those charged with governance</u> or the engaging party, <u>if different</u>. If changes cannot be made to meet the preconditions, the practitioner shall not accept the <u>assurance</u> engagement as an			ISAE 3000 (Revised) Para.25 EER Para.122-124

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	assurance engagement unless required by law or regulation to do so. However, an assurance engagement conducted under such circumstances does not comply with this ISSAE. Accordingly, the practitioner shall not include any reference within the assurance report to the assurance engagement having been conducted in accordance with this ISAE ISAsE or any other ISAE(s) .			
86.	3.2 Additional Considerations in Assurance Engagement Acceptance and Continuance			
87.	3.2.1 The Firm's Policies or Procedures			
88.	[ISAE 3000 (Revised) Para.21] The engagement partner shall be satisfied that the firm's policies or procedures for the acceptance and continuance of client relationships and assurance engagements have been followed by the firm, and shall determine that conclusions reached in this regard are appropriate.			ISAE 3000 (Revised) Para.21 EER Para.117
89.	[ISAE 3000 (Revised) Para.22] In doing so, the engagement partner shall determine that the following conditions were considered in accepting or continuing the client relationship and	[ISA 220 (Revised) Para.23] The engagement partner shall take into account information obtained in the acceptance and continuance process in planning and performing	Paragraph 30 of ISQM 1 deals with the firm's responsibilities related to the acceptance and	ISAE 3000 (Revised) Para. 22, A24-26; A30–A34

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	assurance engagement practitioner shall accept or continue an assurance engagement only when: (Ref: Para. A30–A34) (a) There is practitioner has no reason to believe that relevant ethical requirements, including independence, will not be satisfied; (b) The practitioner is satisfied that those persons who are to perform the <u>assurance</u> engagement collectively have the appropriate competence and capabilities, including having sufficient time to perform the <u>assurance</u> engagement (see also paragraph XX32); and (c) The basis upon which the <u>assurance</u> engagement is to be performed has been agreed, through: (i) Establishing that the preconditions for an assurance engagement are present (see also paragraphs 24–26XX); and (ii) — Confirming that there is a common understanding between the practitioner and <u>management</u>, those charged with governance or the engaging party, <u>if different</u> of the terms of the <u>assurance</u>	the <u>audit assurance</u> engagement in accordance with the this <u>ISSA</u> complying with the requirements of ISA.	continuance of client relationships and specific assurance engagements. It requires the firm to achieve the following quality objective: "Judgments by the firm about whether to accept or continue a client relationship or specific assurance engagement are appropriate based on the firm's ability to perform the assurance engagement in accordance with professional standards and applicable legal and regulatory requirements." The requirements in paragraph 22 of ISAE 3000 (Revised) relate	ISA 220 (Revised) Para.22-23 A49–A56, A58 EER Chapter 1: Applying Appropriate Competence and Capabilities Chapter 3: Determining Preconditions and Agreeing the Scope of the EER Assurance Engagement

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
	engagement, including the practitioner's reporting responsibilities.		specifically to this quality objective, and therefore it is the firm's responsibility to consider these conditions in acceptance or continuance decisions. This may not be entirely clear given the requirement refers to the practitioner, and is embedded in the assurance engagement-level standard. As a result, the lead-in has been adjusted to better link to the requirement in line 88, thereby emphasizing that these conditions need to be considered as part of implementing the firm's policies or procedures.	

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
90.	[ISAE 3000 (Revised) Para.23] If the engagement partner obtains information that may have caused the firm to decline the assurance engagement had that information been known by the firm prior to accepting or continuing the client relationship or specific assurance engagement, the engagement partner shall communicate that information promptly to the firm, so that the firm and the engagement partner can take the necessary action.			ISAE 3000 (Revised) Para.23
91.	3.2.2 Limitation on Scope Prior to Acceptance of the Assurance Engagement			
92.	[ISAE 3000 (Revised) Para. 26] If the engaging partymanagement, those charged with governance or the engaging party, if different, imposes a limitation on the scope of the practitioner's work in the terms of a proposed assurance engagement such that the practitioner believes the limitation will result in the practitioner disclaiming a conclusion on the subject matter sustainability information, the practitioner shall not accept such an engagement as			ISAE 3000 (Revised) Para. 26, A156(c))

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
	an assurance engagement, unless required by law or regulation to do so. (Ref: Para. A156(c))			
93.	3.2.3 Assurance Report Prescribed by Law or Regulation			
94.	[ISAE 3000 (Revised) Para.30] In some cases, law or regulation of the relevant jurisdiction prescribes the layout or wording of the assurance report. In these circumstances, the practitioner shall evaluate: (a) Whether intended users might misunderstand the assurance conclusion; and (b) If so, whether additional explanation in the assurance report can mitigate possible misunderstanding. If the practitioner concludes that additional explanation in the assurance report cannot mitigate possible misunderstanding, the practitioner shall not accept the <u>assurance</u> engagement, unless required by law or regulation to do so. An <u>assurance</u> engagement conducted in accordance with such law or regulation does not comply with this ISSA 5000. Accordingly, the practitioner shall not include any reference within the			ISAE 3000 (Revised) Para.30 ISAE 3410 Para. A7

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	assurance report to the assurance engagement having been conducted in accordance with the is ISSAs or any other ISAE (see also paragraph XX74).			
95.	3.3 Terms of the Assurance Engagement			
96.	3.3.1 Agreeing the Terms of the Assurance Engagement			
97.	[ISAE 3000 (Revised) Para. 27] The practitioner shall agree the terms of the assurance engagement with the engaging party management, those charged with governance or the engaging party, if different. The agreed terms of the assurance engagement shall be specified in sufficient detail in an engagement letter or other suitable form of written agreement, written confirmation, or in law or regulation, and shall include: [ISAE 3410 Para.18] (a) The objective and scope of the assurance engagement including whether a limited or reasonable assurance conclusion is to be provided in the assurance report on all or part of the sustainability information;			ISAE 3000 (Revised) Para. 27 A57–A58 ISAE 3410 Para.18 ISA 210 Para.6(b) EER Chapter 5: Determining the Suitability and Availability of Criteria

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	(b) The responsibilities of the practitioner; <u>(c) The responsibilities of management or those changed with governance as appropriate the entity, including those described in paragraph 17(e); [ISAE 3410 Para.17(c)] The practitioner shall obtain the agreement of the entity that it acknowledges and understands its responsibility:</u> (i) For designing, implementing and maintaining such internal control as the entity determines is necessary to enable the preparation of a GHG statements <u>sustainability information</u> that is free from material misstatement, whether due to fraud or error; (ii) For the preparation of its <u>sustainability information</u> GHG statement in accordance with the applicable criteria; and (Ref: Para. A35) (iii) For referring to or describing in its GHG statements <u>sustainability information</u> the applicable criteria it has used and, when it is not readily apparent from the			

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
	engagement circumstances, who developed them. (Ref: Para. A36) (d) Identification of the applicable criteria for the preparation of the GHG statement <u>sustainability information</u>; (e) Reference to the expected form and content of the <u>any</u> reports to be issued by the practitioner and a statement that there may be circumstances in which a report may differ from its expected form and content; and (f) An acknowledgement that the <u>entity management</u> agrees to provide written representations at the conclusion of the <u>assurance</u> engagement.			
98.	[ISAE 3000 (Revised) Para.28] On recurring <u>assurance</u> engagements, the practitioner shall evaluate <u>assess</u> whether circumstances require the terms of the <u>assurance</u> engagement to be revised and whether there is a need to remind the engaging party <u>management, those charged with governance or the engaging party, as appropriate</u>, of the existing terms of the <u>assurance</u> engagement.			ISAE 3000 (Revised) Para.28

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 (Marked from ISAE 3000 (Revised) and ISAE 3410)	Additional Requirements based on ISAs (Marked from ISA Requirement)		
99.	3.3.2 Changing the Terms of the Assurance Engagement			
100.	[ISAE 3000 (Revised) Para.29] The practitioner shall not agree to a change in the terms of the assurance engagement when there there is no reasonable justification for doing so. If such a change is made, the practitioner shall not disregard evidence that was obtained prior to the change. (Ref: Para. A59)	[ISA 210 Para.15] If, prior to completing the audit assurance engagement, the auditor-practitioner is requested to change the audit assurance engagement to an engagement that conveys a lower level of assurance, the auditor-practitioner shall determine whether there is reasonable justification for doing so. (Ref: Para. A34–A35) [ISA 210 Para16] If the terms of the audit assurance engagement are changed, the auditor-practitioner and management shall agree on and record the new terms of the assurance engagement in an engagement letter or other suitable form of written agreement. [ISA 210 Para.17] If the practitionerauditor is unable to agree to a change of the terms of the assuranceaudit engagement and is not permitted by management to continue the original	ISA 210 requirements added to provide further specificity and clarification of how to address circumstances when change in terms are requested.	ISAE 3000 (Revised) Para.29, A59 ISAE 3410 Para. A37 ISA 210 Para.15-17, A34-A35

	Proposed Requirements		Key Notes Regarding the Proposed Requirements	References: Relevant ISAE 3000; ISAE 3410; ISAs; EER Guidance
	Proposed Requirements Based on ISAE 3000 (Revised) and ISAE 3410 <i>(Marked from ISAE 3000 (Revised) and ISAE 3410)</i>	Additional Requirements based on ISAs <i>(Marked from ISA Requirement)</i>		
		assuranceaudit engagement, the practitioner auditor shall: (a) Withdraw from the auditassurance engagement when not possible under applicable law or regulation; and (b) Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.		

Appendix

Further Explanations Regarding the Adaption and Inclusion of Requirements from the ISAs

1. This Appendix sets out more detailed reasons for the adaption and inclusion of requirements from the identified ISAs for further consideration in the draft requirements of ISSA 5000. The references to “line” numbers are referring to the line numbers in the table of requirements.

Part 1: Conduct of an Assurance Engagement in Accordance with ISSA

2. None of the ISAs identified for further consideration based on the SAWG’s criteria (see Appendix 1 of **Agenda Item 4-D**), related to Part 1, so no ISA requirements have been considered for adaption and inclusion in this part.

Part 2: Fundamental Concepts, General Principles and Overarching Requirements

Considering Requirements Addressing Relevant Ethical Requirements in ISA 200

3. As indicated in **Agenda Item 4–D**, ISA 200 was not identified for further consideration. However, the SAWG considered how ISA 200 addresses the requirement to comply with relevant ethical requirements.
4. A critical issue in developing Proposed ISSA 5000, is ensuring that the standard is neutral regarding who may be performing the engagement, while at the same time ensuring ethical principles applied by professionals performing these engagements are robust. Paragraph 20 of ISAE 3000 (Revised) (see line 13) refers directly to complying with the IESBA Code¹², or other ethical requirements that are at least as demanding. However, the IESBA Code establishes ethical standards for professional accountants, and therefore may be perceived as not broadly relevant to other professionals performing sustainability assurance engagements. The SAWG noted that the approach in ISAE 3000 (Revised) is different from paragraph 14 of ISA 200, which requires the auditor to comply with relevant ethical requirements, and the term “relevant ethical requirements” is defined.
5. The SAWG is of the view that referring directly to the IESBA Code in the requirement is likely to create a strong perception that Proposed ISSA 5000 is designed for practitioners who are professional accountants. Accordingly, the SAWG believes that an approach similar to ISA 200 would be more appropriate, i.e., not referring to the IESBA Code in the requirement, and retaining the robust baseline of ethical principles through creating a new definition of “relevant ethical requirements” in the context of sustainability assurance engagements. Line 13 reflects the proposed requirement. A possible definition of relevant ethical requirements, adapted from the definition in ISQM 1, could be as follows:

Relevant ethical requirements – Principles of professional ethics and ethical requirements that are applicable to practitioners when undertaking assurance engagements of sustainability information. For professional accountants, relevant ethical requirements ordinarily comprise the provisions of the IESBA Code related to assurance engagements of sustainability information, together with national requirements that are more restrictive. For other practitioners who are not professional accountants, relevant ethical requirements comprise the ethical requirements in relevant law, regulation or professional standards related to assurance engagements of sustainability information, that are at least as demanding as the IESBA Code.

¹² IESBA’s *International Code of Ethics for Professional Accountants (including International Independence Standards)*

6. The SAWG is aware that IESBA is planning to undertake standard-setting activities to address sustainability assurance and will continue to monitor developments regarding their possible project and coordinate with IESBA about the possible impact on Proposed ISSA 5000.

Including Requirements from ISA 220 (Revised)

7. As indicated in **Agenda Item 4-D**, ISA 220 (Revised) is one of the ISAs identified for further consideration. In particular, ISA 220 (Revised) was recently revised and enhanced the responsibilities of the engagement partner for quality. It also clarified the respective responsibilities of the firm and engagement partner for matters related to quality management.
8. Given the evolving nature of sustainability reporting, users are increasingly placing reliance on sustainability information and the assurance thereon to support their decisions, including capital allocation decisions. Therefore, the quality of these engagements is essential, and equally important as the quality of an audit of financial statements. The SAWG is therefore of the view that more robust quality management requirements at the engagement level are necessary and appropriate.
9. The SAWG considered the various requirements across ISA 220 (Revised) to determine which requirements should be included in Proposed ISSA 5000. In summary, the SAWG concluded the following:

- (a) Leadership Responsibilities for Managing and Achieving Quality on the Engagement (paragraphs 13–15 of ISA 220 (Revised)):

The SAWG is of the view that paragraph 33 of ISAE 3000 (Revised) adequately addresses the similar requirement in paragraph 13 of ISA 220 (Revised) (see line 20). The SAWG is of the view that adding further specificity, as set out in paragraphs 14–15 of ISA 220 (Revised), is not appropriate in an overarching standard.

- (b) Relevant Ethical Requirements, Including Those Related to Independence (paragraphs 16–21 of ISA 220 (Revised)):

Fulfilling relevant ethical requirements, including independence, is essential in an assurance engagement, and although ISAE 3000 (Revised) addresses ethics at the firm level (see line 13, 15 and 20) and at the engagement level (see line 25), alignment of the approach with ISA 220 (Revised) and clarifying the responsibilities of the engagement partner for ethics is in the public interest. Therefore, the SAWG believes it is appropriate to include all requirements from ISA 220 (Revised) related to relevant ethical requirements, which are not currently addressed in ISAE 3000 (Revised). Furthermore, given sustainability engagement teams may be complex, as they may comprise a myriad of individuals with different professional qualifications (and different professional codes) who may be internal or external to the firm, it is essential that all members of the engagement team are aware of their responsibilities regarding relevant ethical requirements. Lines 22–26 include the proposed requirements.

- (c) Acceptance and Continuance of Client Relationships and Audit Engagements (paragraphs 22–24 of ISA 220 (Revised)):

See paragraph 17 of this Appendix below under Part 3: Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement.

- (d) Engagement Resources (paragraphs 26–28 of ISA 220 (Revised)):

Although the firm assigns the resources, and makes them available, it is still essential for the engagement partner to ensure that sufficient appropriate resources (human, technological and intellectual) are available to perform the engagement, particularly since the resources needed to perform a sustainability assurance

engagement may be specialized and vary. Whilst paragraph 32 of ISAE 3000 (Revised) addresses engagement resources, the SAWG has proposed including the additional requirements related to resources in ISA 220 (Revised) to provide greater specificity (see lines 29-31).

- (e) Engagement Performance – Direction, Supervision and Review (paragraphs 29–34 of ISA 220 (Revised)):

Similar to the reasons explained above, the quality of the sustainability assurance engagements is increasingly important, given the reliance placed by users on this information. Furthermore, engagement teams may comprise a variety of individuals from different backgrounds with varying levels of assurance and subject matter expertise. The SAWG is of the view that all requirements in ISA 220 (Revised) are needed, since they more robustly address the engagement partner's responsibility for appropriate direction, supervision and review, which is critical for quality (see lines 33–38).

- (f) Engagement Performance – Consultation (paragraph 35 of ISA 220 (Revised)):

The SAWG noted that ISAE 3000 (Revised) addresses consultation in a high-level manner and does not have the same specificity as ISA 220 (Revised). In sustainability assurance engagements, given the nature of the information, extent of judgment involved, and that entities' systems of internal control may still be maturing, the SAWG is of the view that consultation is an important concept that requires more specificity. Therefore, the SAWG has added requirements in ISSA 5000 (Revised) (see line 40).

- (g) Engagement Performance – Differences of Opinion (paragraphs 37–38 of ISA 220 (Revised)):

The SAWG noted that ISAE 3000 (Revised) does not address differences of opinion. In sustainability assurance engagements, given the myriad of expertise within engagement teams and across other individuals, it is likely that differences of opinion may arise. Therefore, the SAWG is of the view that this requirement is important to add to Proposed ISSA 5000 (Revised) (see line 42). However, since paragraph 37 of ISA 220 (Revised) is merely referring to compliance with the firm's policies or procedures, the SAWG has only added paragraph 38 of ISA 220 (Revised).

- (h) Engagement Performance – Engagement Quality Review, Monitoring and Remediation (paragraphs 36, 39 of ISA 220 (Revised)):

The SAWG noted that the requirements in ISAE 3000 (Revised) adequately address engagement quality reviews, and information related to the firm's monitoring and remediation. Accordingly, the requirements of ISA 220 (Revised) have not been included in these areas.

- (i) Taking Overall Responsibility for Managing and Achieving Quality, and Documentation (paragraphs 40–41 of ISA 220 (Revised)):

While the requirements of paragraphs 40–41 of ISA 220 (Revised) are not addressed in ISAE 3000 (Revised), the SAWG is of the view that the level of specificity in these requirements is not appropriate for an overarching standard. Accordingly, these requirements have not been added to Proposed ISSA 5000.

Including Requirements from ISA 250 (Revised)

10. As indicated in **Agenda Item 4–D**, ISA 250 (Revised) is one of the ISAs identified for further consideration. ISA 250 (Revised) was revised in recent years to reflect changes made to the IESBA Code regarding non-compliance with laws and regulations.
11. The SAWG noted that not all requirements in ISA 250 (Revised) are necessary in an overarching standard for assurance on sustainability reporting. Whilst some requirements have been included in the draft (see lines 59–65),

further consideration by the SAWG is needed to reflect on the requirements that have been included, and whether other concepts of ISA 250 (Revised) are needed. The SAWG's initial thinking is to adopt a similar approach to that in ISA 250 (Revised) and focus on two broad categories of laws and regulations that could impact sustainability information.

Including Requirements from ISA 260 (Revised)

12. As indicated in **Agenda Item 4–D**, ISA 260 (Revised) is one of the ISAs identified for further consideration. ISA 260 (Revised) was revised in recent years to align with changes made to the auditor reporting standards.
13. The SAWG is of the view that communication with those charged with governance is as important in a sustainability assurance engagement, as it is in an audit of financial statements, given the increased public interest in, and reliance on, the sustainability information. The SAWG has therefore proposed introducing enhanced communication requirements in Proposed ISSA 5000, to improve the robustness of two-way communication between the practitioner and those charged with governance (see lines 66–68).
14. The SAWG noted that not all requirements in ISA 260 (Revised) are necessary in an overarching standard for assurance on sustainability reporting. For example, many of the requirements in the standard provide specificity regarding how to identify the individuals with whom to communicate, breaches of independence, and the nature, timing and form of communication.

Part 3: Engagement Scope and Other Preconditions for a Sustainability Assurance Engagement

Including Requirements from ISA 210

15. As indicated in **Agenda Item 4–D**, ISA 210 is one of the ISAs identified for further consideration. The SAWG is of the view that paragraph 6 of ISA 210 is helpful in addressing access to information, which may be challenging in sustainability assurance engagements, and therefore is important to consider when agreeing the terms of engagement (see line 84). Furthermore, paragraphs 15–17 of ISA 210 provide useful requirements with respect to requests to change the terms of the engagement (see line 100).

Including Requirements from ISA 220 (Revised)

16. Similar to the consideration of requirements from ISA 210 above, ISAE 3000 (Revised) addresses almost all of the requirements relating to acceptance and continuance, except paragraph 23 of ISA 220 (Revised). The SAWG has proposed adding this (see line 89), because this information should be used in performing the engagement.